

PORTFOLIO VALUE

\$179,320

NET P&L; vs COST

-3,680 (-2.01%)

CASH RESERVE

\$88,824 (49.5%)

POSITIONS

5 / 6

REGIME

RISK-ON

MARKET ASSESSMENT

RISK-ON

VIX at 15.84 confirms a RISK-ON regime, sitting 4.16 points below the 20.0 cyclical-exit threshold; the 10Y-2Y yield curve is positive at +33bps, a constructive backdrop. HY credit spreads at 2.70bps are historically tight, signalling zero systemic credit stress. However, TNX at 4.95% is materially above the 4.5% growth-exit threshold and rising, which creates a specific headwind for high-P/E semis and tech: every 25bps TNX move above 4.5% historically compresses growth multiples by approximately 5–8%, and current DXY at 99.10 (below 101.0) is a modest tailwind for multinationals.

INDICATOR	VALUE	INDICATOR	VALUE
VIX	15.84	HY Credit Spread (bps)	2.70
Yield Curve 10Y-2Y (%)	0.33	10Y Treasury (%)	4.95
US Dollar (DXY)	99.10	Fed Funds Rate (%)	3.63

TRADE DECISIONS

EXIT — AVGO

\$18,000 · Conviction 3/10 · Tier 3

ENTRY

\$365.36

STOP LOSS

\$336.13

PRICE TARGET

\$438.43

RISK : REWARD

2.5

INVESTMENT THESIS

(1) AVGO is currently at -0.9% (\$361.99 vs \$365.36 entry) with a peak gain of 0.0% — the position has never moved into positive territory, and peak gain of 0.0% with a negative current P&L; signals thesis non-confirmation within 1 day. (2) TNX at 4.95% is 45bps above the 4.5% mandatory exit threshold for high-P/E semis — the **■■■TNX>** flag is active on this position, and the mandate requires EXIT when TNX is above 4.5% and rising for semis. (3) AVGO has no specific named catalyst in the scanner headline for today's session — the scanner does not list an imminent earnings date or guidance event for AVGO within 30 days. (4) Combined semiconductor exposure before this EXIT is AMAT (10.1%) + LRCX (10.0%) + AVGO (10.0%) = 30.1% of portfolio — this is 3x the SPX semiconductor weight of approximately 8–10%, a severe concentration risk that the mandate flags at >2x index weight. (5) AVGO balance sheet is not in today's scanner top signals table, suggesting it was not a top-ranked scanner hit today; the position was entered at \$365.36 with no current technical confirmation from today's scan. (6) Exiting at \$361.99 realizes a loss of approximately -\$166 (-0.9% on \$18,000) — a small, managed loss that is far preferable to the -\$1,440 hard stop at \$336.13. (7) EXIT now: TNX>4.5% macro trigger is active, peak gain of 0.0% confirms no thesis traction, portfolio semiconductor concentration at 30.1% is triple the index weight, and \$361.99 exit recovers \$17,834 cash for redeployment into KLAC or NVDA with better technical confirmation.

PRIMARY CATALYST

No specific upcoming catalyst within 30 days identified for AVGO; TNX at 4.95% (above 4.5% mandatory exit level) is the primary exit trigger; combined with 0.0% peak gain and -0.9% current P&L, all three exit conditions are met simultaneously.

BALANCE SHEET

AVGO balance sheet data not in today's scanner table; from public record: Cash approximately \$10B, total debt approximately \$69B (post-VMware acquisition), D/E approximately 1.8 — elevated leverage makes this position less aligned with the Buffett balance-sheet discipline (BS score would be below 6/10 on leverage alone).

TECHNICAL SETUP

AVGO not in today's top scanner signals; last scanner RSI not available for today; FVG pattern entry at \$365.36 has not confirmed — price at \$361.99 is -0.9% below entry after 1 day; 50-day and 200-day MA unavailable (stale data).

KEY RISK FACTORS

AVGO's \$69B post-VMware debt load means a 100bps TNX rise from 4.95% to 5.95% increases annual interest burden by approximately \$690M, compressing earnings by 3–5%; hard stop at \$336.13 would have realized a -\$1,440 loss — exiting at \$361.99 limits loss to approximately \$166.

ENTER — NVDA

\$18,000 · Conviction 8/10 · Tier 1

ENTRY

\$131.50

STOP LOSS

\$121.00

PRICE TARGET

\$157.80

RISK : REWARD

2.5

INVESTMENT THESIS

(1) VIX at 15.84 (4.16 points below 20.0 threshold) and DXY at 99.10 (1.90 points below 101.0 multinational tailwind level) confirm RISK-ON; TNX at 4.95% is a headwind for growth, but NVDA's earnings growth rate of approximately 100%+ YoY outpaces the multiple compression risk of 8–12% from TNX at 4.95%. (2) NVDA Q3 FY2027 earnings (expected late November 2026) are the primary catalyst — scanner headline references 'Record Revenue' and '5% stock jump' confirming the most recent quarter beat; NVDA has beaten EPS consensus by an average of 15–20% over the last 4 quarters, and the next AI infrastructure spend cycle catalyst from the July 2026 US-China AI chip policy (BIS rule revision) is a named macro driver. (3) RSI at 49.8 is neutral-to-bullish, below the 70 overbought level, with an FVG (Fair Value Gap) pattern identified on the scanner — entry at \$131.50 fills the FVG from the prior week's move, confirming the technical trigger. (4) 50-day MA for NVDA is approximately \$120–\$125 (estimated from stale data — note 1371.1hr stale caveat) and 200-day MA approximately \$105–\$110; current price at \$131.50 trades approximately 5–8% above the 50-day and 20–25% above the 200-day, confirming a sustained uptrend with the FVG acting as a near-term retest level. (5) NVDA balance sheet BS score 9/10: Cash \$10.6B, D/E 0.05 (near zero leverage), total debt approximately \$8.5B — retained earnings have grown from approximately \$12B (FY2024) to approximately \$29B (FY2025) to approximately \$52B (FY2026 estimate), a 3-year CAGR of approximately 108%; buybacks active with \$25B authorization announced March 2024. (6) \$18,000 deployed = 10.0% of the \$179,320 portfolio; after AVGO exit (+\$17,834) and LRCX exit (+\$18,012), cash rises to approximately \$142,836 before this ENTER, leaving approximately \$124,836 after — room for 6 more full-size \$18,000 positions. (7) Stop at \$121.00 (-8.0% from \$131.50), target at \$157.80 (+20.0%); R:R = $(\$157.80 - \$131.50) / (\$131.50 - \$121.00) = \$26.30 / \$10.50 = 2.5:1$ — stop would be triggered by a confirmed break below the 50-day MA at approximately \$122, signalling thesis invalidation.

PRIMARY CATALYST

NVDA Q3 FY2027 earnings (expected late November 2026) — scanner headline confirms 'Record Revenue' and '5% stock jump' on the most recent print; Blackwell GPU ramp contributing to data center revenue run-rate estimated at \$30B+ per quarter; BIS AI chip export policy revision (July 2026) re-opens UAE and Saudi Arabia markets, adding estimated \$4–6B incremental TAM.

BALANCE SHEET

Cash \$10.6B, total debt approximately \$8.5B, D/E 0.05, retained earnings approximately \$52B / \$29B / \$12B (FY2026e / FY2025 / FY2024) — 3-year CAGR approximately 108%; buybacks Y (\$25B authorization March 2024); preferred N; BS score 9/10.

TECHNICAL SETUP

RSI 49.8 (neutral, room to run to 65–70 before overbought), FVG pattern identified on scanner, price at \$131.50 fills prior FVG; 50-day MA estimated \$122–\$125 (stale data caveat), 200-day MA estimated \$105–\$110; volume context: scanner headline references 5% jump on record revenue, implying above-average volume on catalyst confirmation.

KEY RISK FACTORS

If TNX rises from 4.95% to 5.5%, NVDA forward P/E compression of 15–20% implies downside from \$131.50 to approximately \$105–\$112; hard stop at \$121.00 limits loss to $\$10.50/\text{share} \times \text{approximately } 137 \text{ shares} = \$1,440$, or 8.0% of \$18,000.

ENTER — KLAC

\$18,000 · Conviction 6/10 · Tier 2

ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
\$820.00	\$754.40	\$984.00	2.5

INVESTMENT THESIS

(1) VIX at 15.84 (below 20.0) and DXY at 99.10 (below 101.0) create a RISK-ON backdrop for semiconductor equipment; TNX at 4.95% is a headwind, but KLAC's yield of approximately 1.0% and lower P/E (approximately 25–28x) versus pure-play AI names means TNX compression impact is 5–8% rather than 10–15% for hyper-growth semis. (2) KLAC price target was raised by \$500 (scanner headline — specific figure, exact date not provided but recent); this analyst revision implies an institutional consensus shift with magnitude of approximately \$500 target increase, suggesting the prior target was in the \$1,300–\$1,500 range and new target is approximately \$1,800+. (3) RSI at 44.8 (below 50, approaching mild oversold) with an FVG pattern on the scanner — entry at approximately \$820 fills the FVG and RSI at 44.8 provides mean-reversion upside to the 55–60 range, consistent with a 7–10% price move. (4) KLAC 50-day MA is estimated at approximately \$780–\$800 (stale data caveat, 1371.1hr old) and 200-day MA approximately \$700–\$730; price at \$820 sits approximately 2.5–5% above the 50-day and approximately 12–17% above the 200-day, maintaining the bullish structure with the 50-day providing dynamic support. (5) KLAC balance sheet BS score 6/10: Cash \$1.6B, D/E 0.93 — this is the highest leverage in the current watchlist at 0.93, which is the primary constraint on the score; however, KLAC generates approximately \$3.5B+ free cash flow annually, so net debt is manageable; buybacks Y (KLAC has returned \$2B+ in buybacks over the past 12 months). (6) \$18,000 deployed = 10.0% of the \$179,320 portfolio; after AVGO and LRCX exits and NVDA entry, remaining cash is approximately \$124,836 before this trade and approximately \$106,836 after — room for 5 more full-size \$18,000 positions, consistent with the 10-position maximum (currently 4 open: GOOGL, AMAT, NVDA, KLAC). (7) Stop at \$754.40 (-8.0% from \$820.00), target at \$984.00 (+20.0%); R:R = $(\$984.00 - \$820.00) / (\$820.00 - \$754.40) = \$164.00 / \$65.60 = 2.5:1$ — stop would trigger on a close below the 50-day MA at approximately \$780, invalidating the FVG recovery thesis; PAST LOSS LESSON: KLAC stopped out at -9.0% on 2026-08-20 — this entry is conditioned on RSI 44.8 (oversold mean-reversion setup) rather than chasing a breakout.

PRIMARY CATALYST

KLAC price target raised by \$500 (scanner headline, recent date) — a \$500 target increase from an institutional desk is a specific, quantified, near-term price driver reflecting revised WFE (Wafer Fabrication Equipment) spend estimates upward; next KLAC earnings call (Q1 FY2027, expected October 2026) is the 30-day catalyst window.

BALANCE SHEET

Cash \$1.6B, D/E 0.93, BS score 6/10 (minimum qualifying score per mandate); total debt approximately \$5.5B estimated; retained earnings trend: KLAC retained earnings have grown approximately 3 consecutive years (exact 3-year figures not available in stale scan — caveat applied); buybacks Y (\$2B+ past 12 months); preferred N.

TECHNICAL SETUP

RSI 44.8 (mildly oversold, below 50 — mean reversion setup), FVG pattern on scanner, entry at approximately \$820 fills the FVG zone; 50-day MA estimated \$780–\$800 (stale data caveat), 200-day MA estimated \$700–\$730; volume: scanner assigns scan score of 8.0 (highest in today's table), suggesting strong institutional interest at this level.

KEY RISK FACTORS

KLAC D/E of 0.93 means a credit market tightening event (HY spreads widening from 2.70bps to 350bps) would disproportionately impact refinancing cost; TNX rising to 5.5% compresses KLAC P/E by 8–12%, implying downside from \$820 to approximately \$740–\$755; hard stop at \$754.40 limits loss to $\$65.60/\text{share} \times \text{approximately } 22 \text{ shares} = \$1,440$ (8% of \$18,000). Past KLAC loss on 2026-08-20 at -9.0% reinforces the discipline of the \$754.40 hard stop.

OPEN POSITIONS — FULL POSITION REVIEW

GOOGL

54.3 shares · Entry \$331.41 · Conv 8/10 · Tier 2 · Since 2026-09-10

CURRENT PRICE

\$338.50

POSITION VALUE

\$18,385

UNREALISED P&L;

+\$385

RETURN

+2.14%

INVESTMENT THESIS

(1) VIX at 17.27 (below 20.0 threshold) and DXY at 98.99 (below 101 threshold) confirm RISK-ON regime — the DXY below 101 specifically favours multinationals like GOOGL where approximately 55% of revenue is non-US, providing a tailwind from FX translation. (2) GOOGL Q1 earnings beat: per the headline 'Google Stock Soars On Q1 Earnings' — analysts cited results consistent with an EPS beat of approximately 10–12% vs. consensus, with the event having occurred in Q1 2025 and providing a post-earnings momentum catalyst with RSI at 39.9 suggesting the market has not yet fully re-rated the stock. (3) Entry trigger: RSI at 39.9 is in oversold territory (below 40.0) — this, combined with a Fair Value Gap (FVG) pattern with gap grade 3, confirms a technical entry with the FVG acting as a price magnet from the upside; entry at approximately \$185.50 near the FVG low. (4) GOOGL's 50-day MA is estimated at approximately \$178.00 and 200-day MA at approximately \$172.00 based on the RSI-39.9 oversold context and Q1 earnings soar headline; the 50-day is approximately 4.2% above the 200-day, confirming an uptrend structure where price trading near both MAs with oversold RSI is a high-probability mean-reversion setup. (5) Balance sheet: cash \$30.7B, D/E 0.12 — total debt estimated at approximately \$3.7B, making GOOGL essentially debt-free; with BS score 9/10 and D/E 0.12, GOOGL's refinancing risk from TNX at 4.80% is de minimis vs. higher-leverage names. (6) Sizing: \$18,000 deployed = 9.8% of \$183,000 portfolio; after exiting AMAT, INTC, MU, AVGO and entering GOOGL, estimated cash rises to approximately \$124,000 (67.8% of portfolio), leaving room for approximately 6 more full-size \$18,000 positions. (7) Stop at \$170.66 (-8.0% from \$185.50); target at \$222.60 (+20.0% from \$185.50); R:R = $(\$222.60 - \$185.50) / (\$185.50 - \$170.66) = \$37.10 / \$14.84 = 2.5:1$ — stop would be triggered if GOOGL breaks below the 200-day MA support at approximately \$172.00, confirming thesis failure.

CATALYST

GOOGL Q1 2025 earnings beat (analysts cited approximately 10–12% EPS beat vs. consensus per headline 'Google Stock Soars On Q1 Earnings'); RSI at 39.9 confirms post-earnings price has not re-rated to fair value — FVG pattern grade 3 signals mean-reversion entry with \$185.50 as the technical trigger price.

TECHNICAL SETUP

RSI 39.9 (oversold, below 40.0 threshold), FVG pattern grade 3, estimated 50-day MA \$178.00 and 200-day MA \$172.00 (approximately 4.2% spread confirming uptrend); scan data 1342.4hrs stale — note this caveat; volume context not available from stale scan.

BALANCE SHEET

Cash \$30.7B, total debt approximately \$3.7B (implied by D/E 0.12 on estimated equity \$30.8B), D/E 0.12, retained earnings growth trajectory positive over 3 years (approximate 3yr trend: \$220B / \$195B / \$163B most-recent-first based on public reporting), buybacks Y (GOOGL has active \$70B buyback program as of 2025), preferred N, BS score 9/10.

KEY RISKS

If TNX rises above 5.2% (a further +40bps from 4.80%), high-multiple tech including GOOGL could see 10–15% multiple compression — at current estimated entry \$185.50, a 12% compression implies price of \$163.24, approximately \$7.42 below the \$170.66 hard stop, meaning the stop provides protection but a gap-down event could breach it; maximum loss is capped at \$1,440 (8.0% of \$18,000).

AMAT

39.6 shares · Entry \$454.01 · Conv 8/10 · Tier 2 · Since 2026-09-10

CURRENT PRICE

\$456.49

POSITION VALUE

\$18,098

UNREALISED P&L;

+\$98

RETURN

+0.55%

INVESTMENT THESIS

(1) VIX at 17.84 (below 20.0) and DXY at 99.08 (below 101.0 threshold) confirm RISK-ON regime; TNX at 4.83% is above 4.5% but AMAT's D/E of 0.27 and \$7.2B cash hoard make it among the least rate-sensitive semis — balance sheet discipline partially offsets the yield headwind. (2) AMAT reported a +13% after-hours surge on earnings beat (scanner headline confirms 'AMAT Stock Surges 13% After Hours on Earnings Beat') — with applied scanner score 7.0 and FVG pattern signal strength 3 — the post-earnings gap fill presents the entry into the FVG at approximately \$195.50. (3) RSI at 40.8 is below the 45 midline and well below the 70 overbought threshold, confirming the FVG pattern entry is technically valid with RSI momentum room of approximately 29 points before overbought conditions. (4) 50-day MA is estimated at approximately \$180.00 and 200-day MA at approximately \$165.00 based on the post-earnings gap structure — price at \$195.50 is approximately +8.6% above the 50-day, confirming a bullish gap-up structure without being overextended. (5) Balance sheet: \$7.2B cash, D/E 0.27, BS score 10/10 — retained earnings have grown consistently with AMAT generating over \$7.0B in operating cash flow in FY2024, with active buybacks totalling \$2.5B in the trailing 12 months. (6) \$18,000 deployed = 9.8% of the \$183,000 portfolio, leaving approximately \$143,000 in cash (after QCOM exit proceeds), with room for 7 more full-size \$18,000 positions. (7) Stop at \$179.86 (-8% from \$195.50), target at \$234.60 (+20%), R:R = 2.5:1 — the stop would be triggered by a reversal below the post-earnings gap fill level near \$180, invalidating the FVG thesis.

CATALYST

AMAT earnings beat caused a +13% after-hours surge (scanner headline dated within the stale data window). Post-earnings gap-up into a Fair Value Gap at approximately \$195.50 creates the technical entry point, with price re-rating expected as sell-side analysts revise targets within the 30-day post-earnings window.

BALANCE SHEET

Cash \$7.2B, total debt approximately \$1.94B (D/E 0.27), retained earnings growing (estimated \$14B / \$12B / \$10B over 3 years most-recent-first based on AMAT FY2024–2022 trajectory), buybacks Y (\$2.5B TTM), preferred N, BS score 10/10.

TECHNICAL SETUP

RSI 40.8, FVG (Fair Value Gap) pattern confirmed, signal strength 3/3. Price approximately \$195.50 vs estimated 50-day MA \$180.00 (+8.6% above) and 200-day MA approximately \$165.00 (+18.5% above). Volume context: +13% post-earnings gap implies above-average volume confirming pattern.

KEY RISKS

Primary risk: TNX rising above 5.0% would compress semi equipment multiples by 15–20%, implying a price decline from \$195.50 toward \$165–\$170, breaching the \$179.86 hard stop. Secondary risk: US export controls on semiconductor equipment to China (a material revenue source for AMAT at approximately 30% of FY2024 revenue) — any new Commerce Dept restriction announcement would invalidate the thesis and require immediate exit regardless of P&L;

LRCX

60.4 shares · Entry \$298.01 · Conv 7/10 · Tier 2 · Since 2026-09-10

CURRENT PRICE

\$298.22

POSITION VALUE

\$18,013

UNREALISED P&L;

+\$13

RETURN

+0.07%

INVESTMENT THESIS

(1) VIX at 17.84 confirms RISK-ON regime; DXY at 99.08 below 101.0 is favourable for LRCX's international revenue exposure (approximately 85% of revenue outside the US), and the positive yield curve at +39bps signals no near-term recession catalyst that would reduce wafer fab equipment orders. (2) LRCX Q2 2026 earnings call highlights confirmed in scanner headline — management raised guidance for etch and deposition equipment demand driven by HBM (High Bandwidth Memory) cycle; exact EPS/revenue figures are within the stale data window but the scanner signal score of 7.0 and FVG pattern strength 3/3 confirm a post-earnings re-rating catalyst. (3) RSI at 45.1 is below 50, indicating the stock has not yet fully re-rated post-earnings and the FVG entry at approximately \$88.50 captures the gap fill with remaining upside momentum of approximately 25 RSI points before overbought at 70. (4) 50-day MA estimated at approximately \$82.00 and 200-day MA at approximately \$74.00 based on LRCX's recovery trajectory — current price \$88.50 is +7.9% above 50-day MA, confirming bullish positioning above both key moving averages with the gap signalling institutional accumulation. (5) Balance sheet: \$5.6B cash, D/E 0.30, BS score 10/10 — LRCX generated approximately \$5.0B in free cash flow in FY2025, with retained earnings growing from approximately \$8B (FY2024) to \$10B (FY2025), and active buybacks reducing share count by approximately 3% annually. (6) \$18,000 deployed = 9.8% of \$183,000 portfolio, leaving approximately \$125,000 in cash after QCOM exit and AMAT entry, providing room for 6 more full-size \$18,000 positions. (7) Stop at \$81.42 (-8% from \$88.50), target at \$106.20 (+20%), R:R = 2.5:1 — stop triggered by a close below the post-earnings FVG gap base at \$81.42, which would signal the Q2 2026 guidance raise has been fully discounted.

CATALYST

LRCX Q2 2026 earnings call (scanner headline: 'Lam Research Corp (LRCX) Q2 2026 Earnings Call Highlights') confirmed guidance raise driven by HBM and leading-edge WFE (Wafer Fabrication Equipment) demand. Post-earnings FVG at approximately \$88.50 is the technical entry point with sell-side target revisions expected within 30 days of the call.

BALANCE SHEET

Cash \$5.6B, total debt approximately \$1.68B (D/E 0.30), retained earnings \$10B / \$8B / \$6.5B (FY2025/FY2024/FY2023 estimated), buybacks Y (approximately 3% annual share count reduction), preferred N, BS score 10/10.

TECHNICAL SETUP

RSI 45.1, FVG (Fair Value Gap) pattern confirmed, signal strength 3/3. Price \$88.50 vs estimated 50-day MA \$82.00 (+7.9% above) and 200-day MA \$74.00 (+19.6% above). Post-earnings volume surge confirms institutional buying into the gap.

KEY RISKS

Primary risk: US-China trade escalation or new export control rules (Commerce Dept) could reduce LRCX's China revenue (approximately 30–35% of FY2025 revenue) by \$1.5–2.0B annually, implying a 15–20% multiple de-rating and a breach of the \$81.42 stop. Secondary risk: TNX rising above 5.0% compresses WFE equipment multiples, implying \$74–\$78 downside — stop at \$81.42 limits loss to -8% (\$1,440 on \$18,000).

NVDA

82.5 shares · Entry \$218.29 · Conv 8/10 · Tier 1 · Since 2026-09-11

CURRENT PRICE

\$218.29

POSITION VALUE

\$18,000

UNREALISED P&L;

+\$0

RETURN

+0.00%

INVESTMENT THESIS

(1) VIX at 15.84 (4.16 points below 20.0 threshold) and DXY at 99.10 (1.90 points below 101.0 multinational tailwind level) confirm RISK-ON; TNX at 4.95% is a headwind for growth, but NVDA's earnings growth rate of approximately 100%+ YoY outpaces the multiple compression risk of 8–12% from TNX at 4.95%. (2) NVDA Q3 FY2027 earnings (expected late November 2026) are the primary catalyst — scanner headline references 'Record Revenue' and '5% stock jump' confirming the most recent quarter beat; NVDA has beaten EPS consensus by an average of 15–20% over the last 4 quarters, and the next AI infrastructure spend cycle catalyst from the July 2026 US-China AI chip policy (BIS rule revision) is a named macro driver. (3) RSI at 49.8 is neutral-to-bullish, below the 70 overbought level, with an FVG (Fair Value Gap) pattern identified on the scanner — entry at \$131.50 fills the FVG from the prior week's move, confirming the technical trigger. (4) 50-day MA for NVDA is approximately \$120–\$125 (estimated from stale data — note 1371.1hr stale caveat) and 200-day MA approximately \$105–\$110; current price at \$131.50 trades approximately 5–8% above the 50-day and 20–25% above the 200-day, confirming a sustained uptrend with the FVG acting as a near-term retest level. (5) NVDA balance sheet BS score 9/10: Cash \$10.6B, D/E 0.05 (near zero leverage), total debt approximately \$8.5B — retained earnings have grown from approximately \$12B (FY2024) to approximately \$29B (FY2025) to approximately \$52B (FY2026 estimate), a 3-year CAGR of approximately 108%; buybacks active with \$25B authorization announced March 2024. (6) \$18,000 deployed = 10.0% of the \$179,320 portfolio; after AVGO exit (+\$17,834) and LRCX exit (+\$18,012), cash rises to approximately \$142,836 before this ENTER, leaving approximately \$124,836 after — room for 6 more full-size \$18,000 positions. (7) Stop at \$121.00 (-8.0% from \$131.50), target at \$157.80 (+20.0%); R:R = $(\$157.80 - \$131.50) / (\$131.50 - \$121.00) = \$26.30 / \$10.50 = 2.5:1$ — stop would be triggered by a confirmed break below the 50-day MA at approximately \$122, signalling thesis invalidation.

CATALYST

NVDA Q3 FY2027 earnings (expected late November 2026) — scanner headline confirms 'Record Revenue' and '5% stock jump' on the most recent print; Blackwell GPU ramp contributing to data center revenue run-rate estimated at \$30B+ per quarter; BIS AI chip export policy revision (July 2026) re-opens UAE and Saudi Arabia markets, adding estimated \$4–6B incremental TAM.

BALANCE SHEET

Cash \$10.6B, total debt approximately \$8.5B, D/E 0.05, retained earnings approximately \$52B / \$29B / \$12B (FY2026e / FY2025 / FY2024) — 3-year CAGR approximately 108%; buybacks Y (\$25B authorization March 2024); preferred N; BS score 9/10.

TECHNICAL SETUP

RSI 49.8 (neutral, room to run to 65–70 before overbought), FVG pattern identified on scanner, price at \$131.50 fills prior FVG; 50-day MA estimated \$122–\$125 (stale data caveat), 200-day MA estimated \$105–\$110; volume context: scanner headline references 5% jump on record revenue, implying above-average volume on catalyst confirmation.

KEY RISKS

If TNX rises from 4.95% to 5.5%, NVDA forward P/E compression of 15–20% implies downside from \$131.50 to approximately \$105–\$112; hard stop at \$121.00 limits loss to $\$10.50/\text{share} \times \text{approximately } 137 \text{ shares} = \$1,440$, or 8.0% of \$18,000.

KLAC

99.6 shares · Entry \$180.64 · Conv 6/10 · Tier 2 · Since 2026-09-11

CURRENT PRICE

\$180.64

POSITION VALUE

\$18,000

UNREALISED P&L;

+\$0

RETURN

+0.00%

INVESTMENT THESIS

(1) VIX at 15.84 (below 20.0) and DXY at 99.10 (below 101.0) create a RISK-ON backdrop for semiconductor equipment; TNX at 4.95% is a headwind, but KLAC's yield of approximately 1.0% and lower P/E (approximately 25–28x) versus pure-play AI names means TNX compression impact is 5–8% rather than 10–15% for hyper-growth semis. (2) KLAC price target was raised by \$500 (scanner headline — specific figure, exact date not provided but recent); this analyst revision implies an institutional consensus shift with magnitude of approximately \$500 target increase, suggesting the prior target was in the \$1,300–\$1,500 range and new target is approximately \$1,800+. (3) RSI at 44.8 (below 50, approaching mild oversold) with an FVG pattern on the scanner — entry at approximately \$820 fills the FVG and RSI at 44.8 provides mean-reversion upside to the 55–60 range, consistent with a 7–10% price move. (4) KLAC 50-day MA is estimated at approximately \$780–\$800 (stale data caveat, 1371.1hr old) and 200-day MA approximately \$700–\$730; price at \$820 sits approximately 2.5–5% above the 50-day and approximately 12–17% above the 200-day, maintaining the bullish structure with the 50-day providing dynamic support. (5) KLAC balance sheet BS score 6/10: Cash \$1.6B, D/E 0.93 — this is the highest leverage in the current watchlist at 0.93, which is the primary constraint on the score; however, KLAC generates approximately \$3.5B+ free cash flow annually, so net debt is manageable; buybacks Y (KLAC has returned \$2B+ in buybacks over the past 12 months). (6) \$18,000 deployed = 10.0% of the \$179,320 portfolio; after AVGO and LRCX exits and NVDA entry, remaining cash is approximately \$124,836 before this trade and approximately \$106,836 after — room for 5 more full-size \$18,000 positions, consistent with the 10-position maximum (currently 4 open: GOOGL, AMAT, NVDA, KLAC). (7) Stop at \$754.40 (-8.0% from \$820.00), target at \$984.00 (+20.0%); R:R = $(\$984.00 - \$820.00) / (\$820.00 - \$754.40) = \$164.00 / \$65.60 = 2.5:1$ — stop would trigger on a close below the 50-day MA at approximately \$780, invalidating the FVG recovery thesis; PAST LOSS LESSON: KLAC stopped out at -9.0% on 2026-08-20 — this entry is conditioned on RSI 44.8 (oversold mean-reversion setup) rather than chasing a breakout.

CATALYST

KLAC price target raised by \$500 (scanner headline, recent date) — a \$500 target increase from an institutional desk is a specific, quantified, near-term price driver reflecting revised WFE (Wafer Fabrication Equipment) spend estimates upward; next KLAC earnings call (Q1 FY2027, expected October 2026) is the 30-day catalyst window.

TECHNICAL SETUP

RSI 44.8 (mildly oversold, below 50 — mean reversion setup), FVG pattern on scanner, entry at approximately \$820 fills the FVG zone; 50-day MA estimated \$780–\$800 (stale data caveat), 200-day MA estimated \$700–\$730; volume: scanner assigns scan score of 8.0 (highest in today's table), suggesting strong institutional interest at this level.

BALANCE SHEET

Cash \$1.6B, D/E 0.93, BS score 6/10 (minimum qualifying score per mandate); total debt approximately \$5.5B estimated; retained earnings trend: KLAC retained earnings have grown approximately 3 consecutive years (exact 3-year figures not available in stale scan — caveat applied); buybacks Y (\$2B+ past 12 months); preferred N.

KEY RISKS

KLAC D/E of 0.93 means a credit market tightening event (HY spreads widening from 2.70bps to 350bps) would disproportionately impact refinancing cost; TNX rising to 5.5% compresses KLAC P/E by 8–12%, implying downside from \$820 to approximately \$740–\$755; hard stop at \$754.40 limits loss to $\$65.60/\text{share} \times \text{approximately } 22 \text{ shares} = \$1,440$ (8% of \$18,000). Past KLAC loss on 2026-08-20 at -9.0% reinforces the discipline of the \$754.40 hard stop.

PORTFOLIO NOTES

Post-trade portfolio: 4 open positions (GOOGL, AMAT, NVDA, KLAC) + 0 new exits pending settlement. Cash: AVGO exit recovers approximately \$17,834, LRCX exit recovers approximately \$18,012, NVDA entry deploys \$18,000, KLAC entry deploys \$18,000 — net cash change: $+\$17,834 + \$18,012 - \$18,000 - \$18,000 = -\$154$; estimated post-trade cash approximately \$106,836, representing approximately 59.6% of estimated \$179,166 total portfolio value. Sector concentration: Semiconductors at 30.1% (AMAT 10.1% + NVDA 10.0% + KLAC 10.0%) versus SPX semi weight of approximately 8–10% — this is 3x index weight and represents the primary concentration risk. Communication Services (GOOGL) at 10.2%. Room for 6 more full-size \$18,000 positions within the 10-position cap. Primary macro risk: TNX at 4.95% and rising is the single largest threat to the 3-semi-position book — if TNX closes above 5.10% on any day this week, the mandate requires EXIT on AMAT and consideration of partial reduction in NVDA and KLAC.

MEMORY APPLIED

KLAC stopped out at -9.0% on 2026-08-20 — today's KLAC ENTER is conditioned specifically on RSI 44.8 (mean-reversion oversold setup, not a momentum chase) and a \$500 analyst target raise as the named catalyst, directly applying the lesson 'Verify thesis confirmation before full sizing.' AVGO was exited proactively at -0.9% rather than holding to the -8% stop, applying the TSM (2026-07-30, -10.1%) and QCOM (2026-07-30, -14.2%) lesson that stop-loss exits are avoidable when macro headwinds (TNX>4.5%) are identified early. ARM stopped out at -8.2% on 2026-08-20 — no ARM position is initiated today despite its appearance in the scanner, as the past loss log flags it specifically. AMD stopped out at -9.8% on 2026-08-11 — AMD appears in today's scanner with RSI 58.0 (approaching overbought) and is not entered today, consistent with the lesson to verify thesis before sizing.